

Managing the UK economy

Fiscal and monetary policy since 1945

Week 4 – 1945-51: Fiscal and monetary policy of the post-war Labour governments

AY 2026-27

Department of Political Economy

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Historical context

1939-1945: World War II.

May 1945: End of war in Europe.

July 1945: UK general election

- Labour 393; Conservatives 203
- Attlee PM, Dalton Chancellor.

Aug 1945: End of war in East Asia.


Evening Gazette

MONDAY, May 7, 1945.

END OF THE WAR IN EUROPE

ALL GERMAN FORCES TO SURRENDER

VE-DAY Will Be TO-MORROW


DAILY HERALD

JULY 27 1945

Attlee Accepts Premiership: Now Forming Government

LABOUR IN POWER

Night Climax To The Great Landslide

PALACE DRAMA

Attlee Tells The World

London's Bonfires, Dancing


The New York Times.

LATE CITY EDITION

JAPAN SURRENDERS TO ALLIES, SIGNS RIGID TERMS ON WARSHIP; TRUMAN SETS TODAY AS V-J DAY

HOLIDAY TRAFFIC NEAR 1941 LEVEL; 'GAS' IS PLENTIFUL

Times Sq. Takes V-J News Quietly

HAILS ERA OF PEACE

President Calls On U.S. to Stride On Toward a World of Good-Will

SALUTES HEROIC DEAD

Cautions Jubilant Nation Hard Jobs Ahead Need Same Zeal as War

JAPANESE FOREIGN MINISTER SIGNING SURRENDER ARTICLES

WAR COMES TO END

Articles of Capitulation Endorsed by Countries in Pacific Conflict

M'ARTHUR SEES PEACE

Emperor Orders Subjects to Obey All Commands

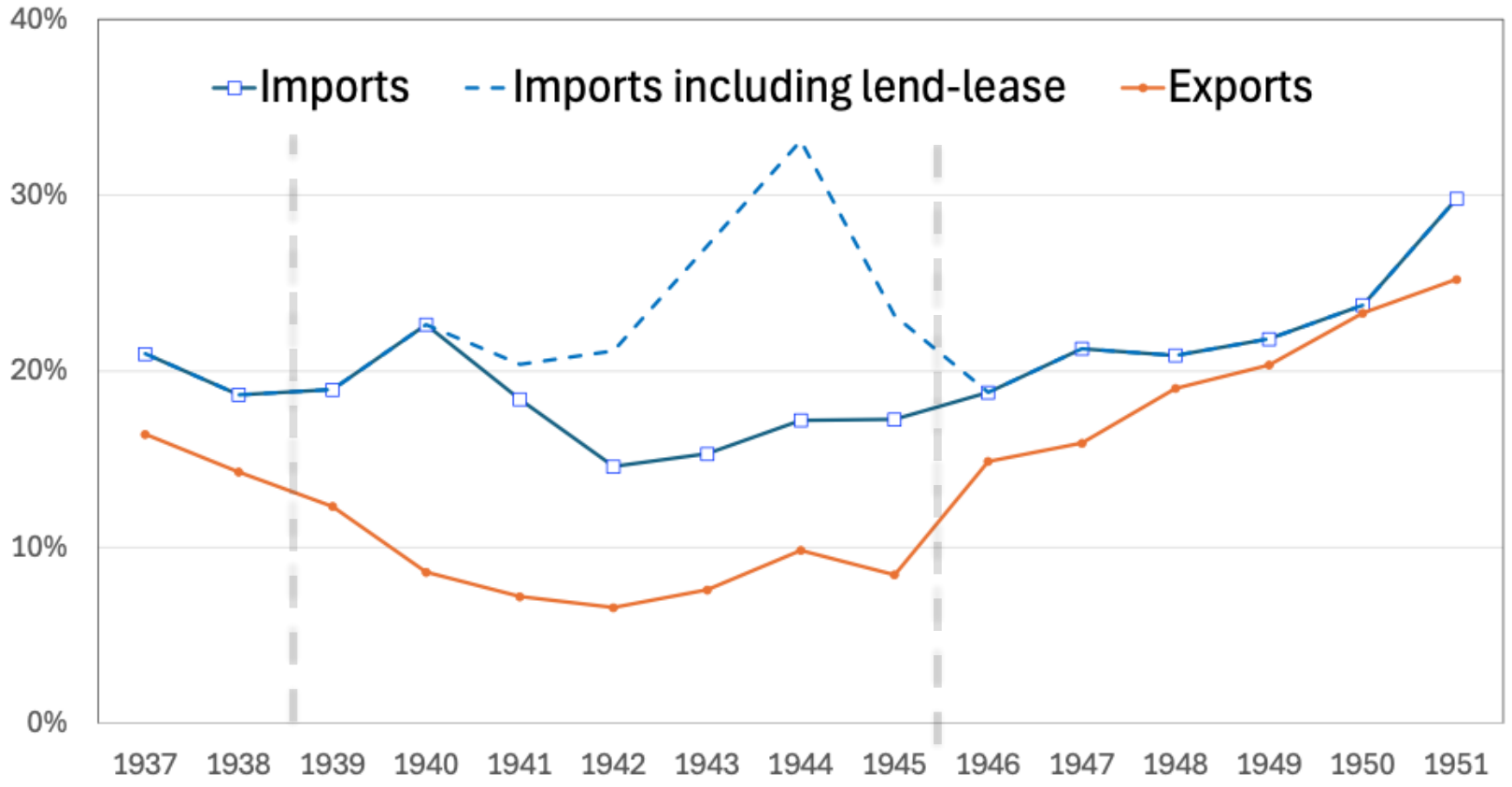
The 1939-45 war economy

- Unprecedented government intervention
  - Military & industrial conscription, “Manpower budgets”.
  - Price controls, quantity controls, rationing, food subsidies.
  - Import & export controls.
- Productive capacity stretched to the limit
  - No unemployment, shortages of raw materials.
- Government spending almost 2/3 of GDP.
  - Almost all military or related.
  - Private consumption & total investment reduced to the minimum.

Monthly unemployment rate



Imports & Exports (% of GDP)



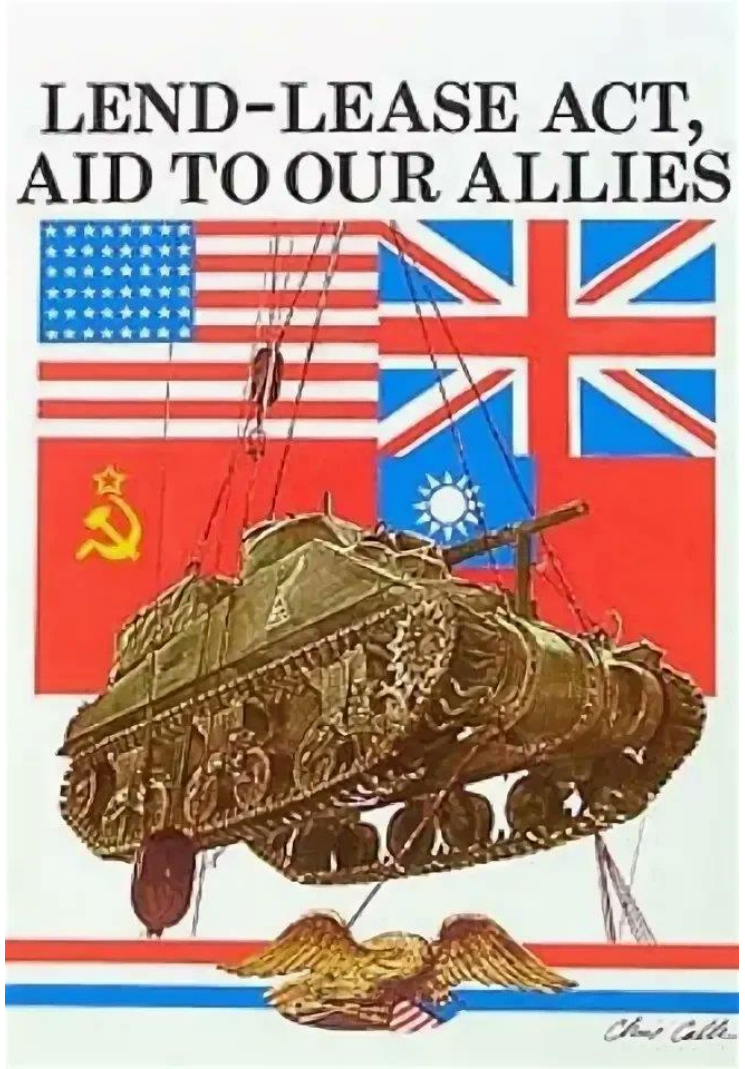
- Huge trade deficit
- Partly financed by selling UK assets abroad & borrowing.
- Partly just gifted by the US: *Lend-lease*



Source: BoE, A millennium of macroeconomic data and Edgerton (2023)

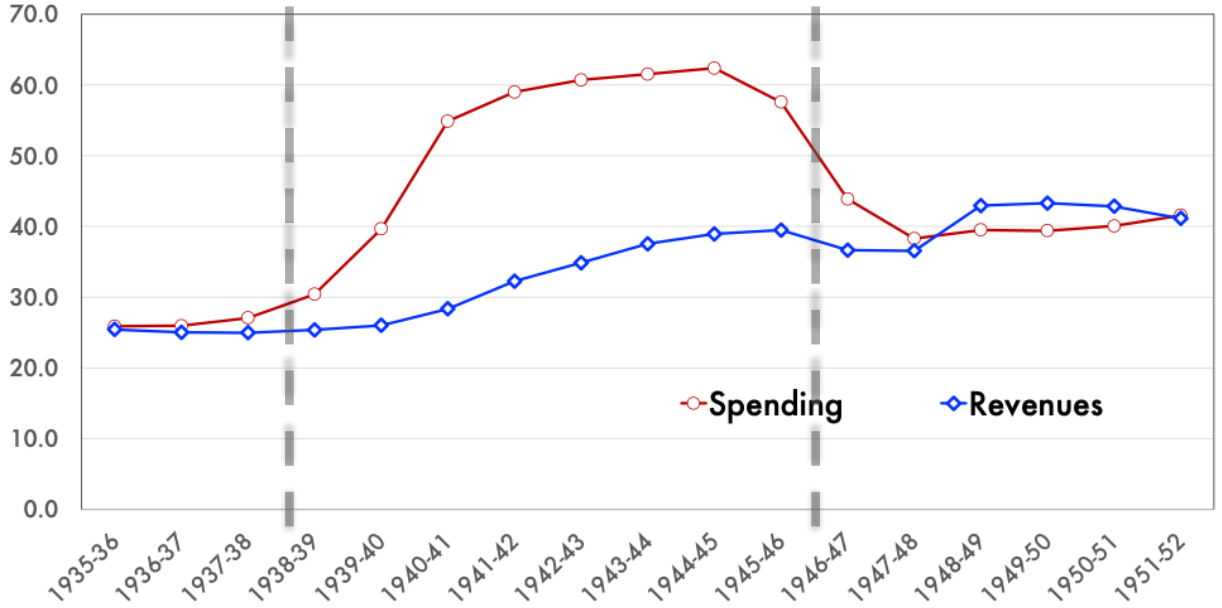
Lend-lease

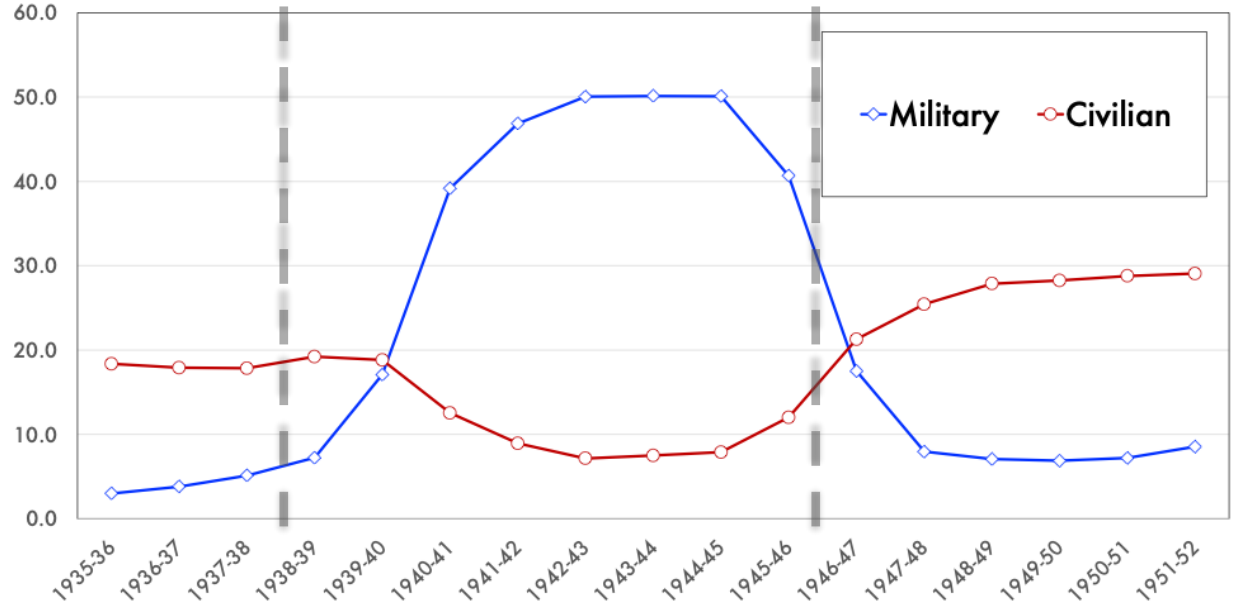
- March 1941 - September 1945
- US shipments of essential goods at no cost.
- Allows UK a huge current account deficit & to direct even more resources to the military.
- Efficient division of war effort within the Allies.
- Further stimulated the ascendant US economy and further distorted & weakened UK non-military industries.



Public finance during the war

- Huge budget deficits driven by surge in military spending.
- Drop in civilian government spending (esp. investment).
- Increase in taxation + forced savings ('post-war credits').

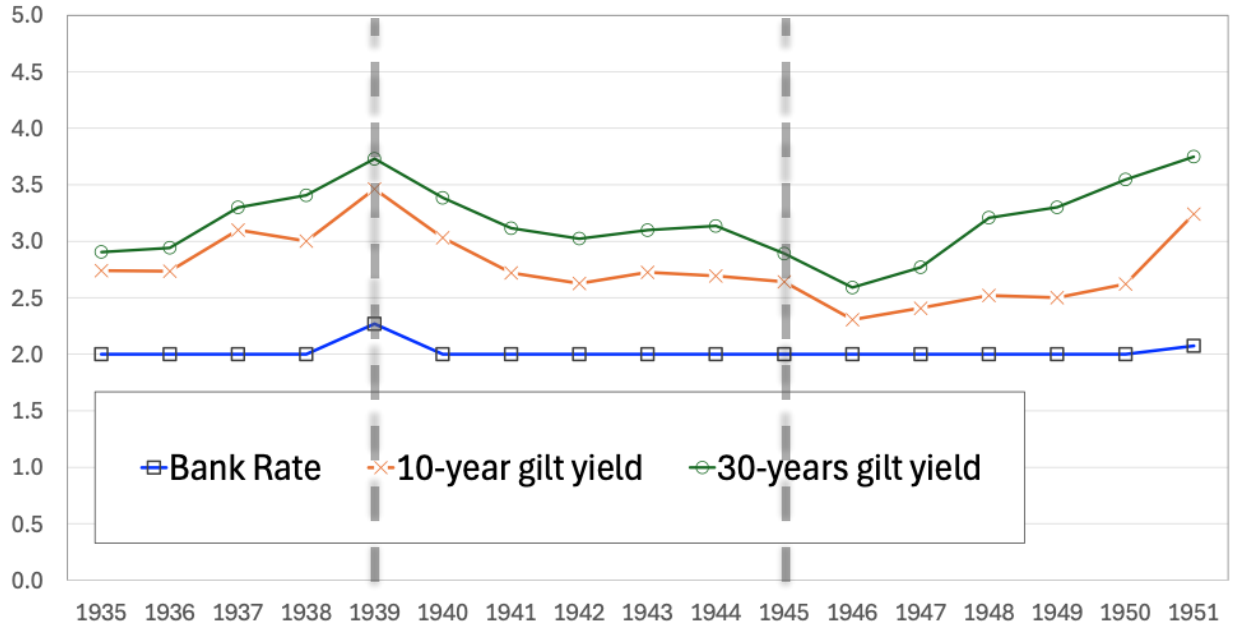




Source: OBR, Historical public finances database.

Monetary policy during the war

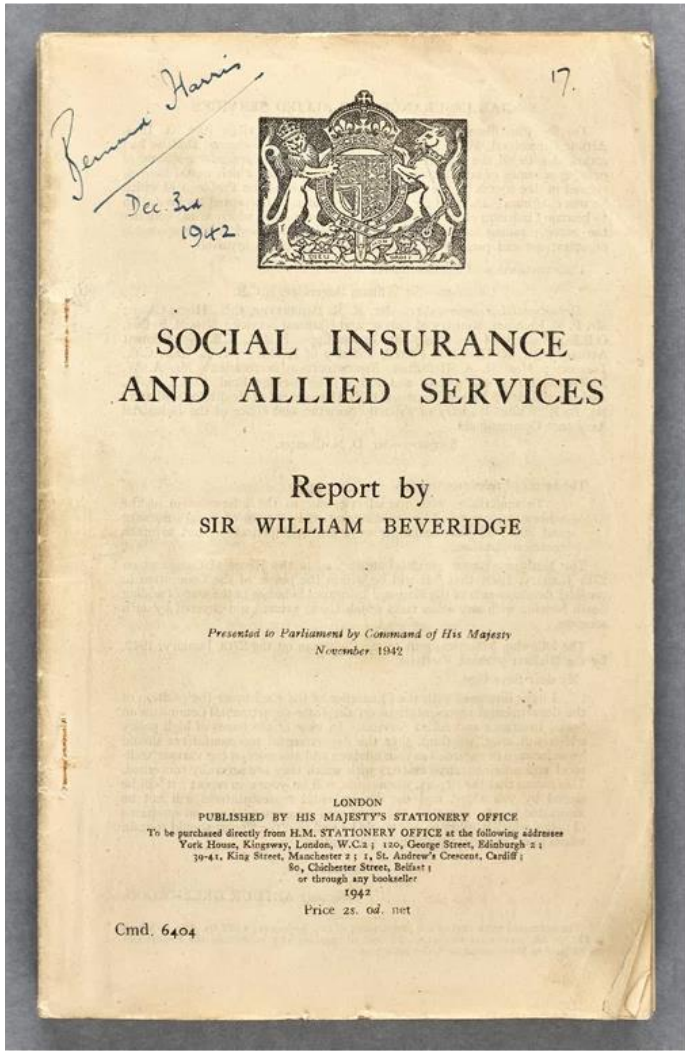
- Passive: very low (and fixed) interest rates.
- Inflation prevented by taxation (inc. forced savings), price controls & rationing.



Source: [BoE, A millennium of macroeconomic data]

The post-war settlement

- New consensus about the role of the state in the economy.
  - 1941 Budget
  - 1942 Beveridge report
  - 1944 White Paper on Employment Policy
- Rise of trade unions.
- (Some) nationalizations.
- Internationally: Bretton Woods, IMF.


17.

Dec 3rd 1942

SOCIAL INSURANCE AND ALLIED SERVICES

Report by
SIR WILLIAM BEVERIDGE

Presented to Parliament by Command of His Majesty
November 1942

LONDON
PUBLISHED BY HIS MAJESTY'S STATIONERY OFFICE
To be purchased directly from H.M. STATIONERY OFFICE at the following addresses
York House, Kingsway, London, W.C.2; 120, George Street, Edinburgh 2;
39-41, King Street, Manchester 2; 1, St. Andrew's Crescent, Cardiff;
80, Chichester Street, Belfast;
or through any bookseller
1942
Price 2s. 0d. net

Cmd. 6404

Main themes of post-war policy

- Reconversion of the war economy.
  - Rebuilding non-military industries.
  - (Very) gradual de-control.
  - Restoring balance of payments equilibrium.
- Nationalizations & welfare state.
- Maintaining full employment after the war.
- Avoiding both inflation and deflation.



Nationalisations

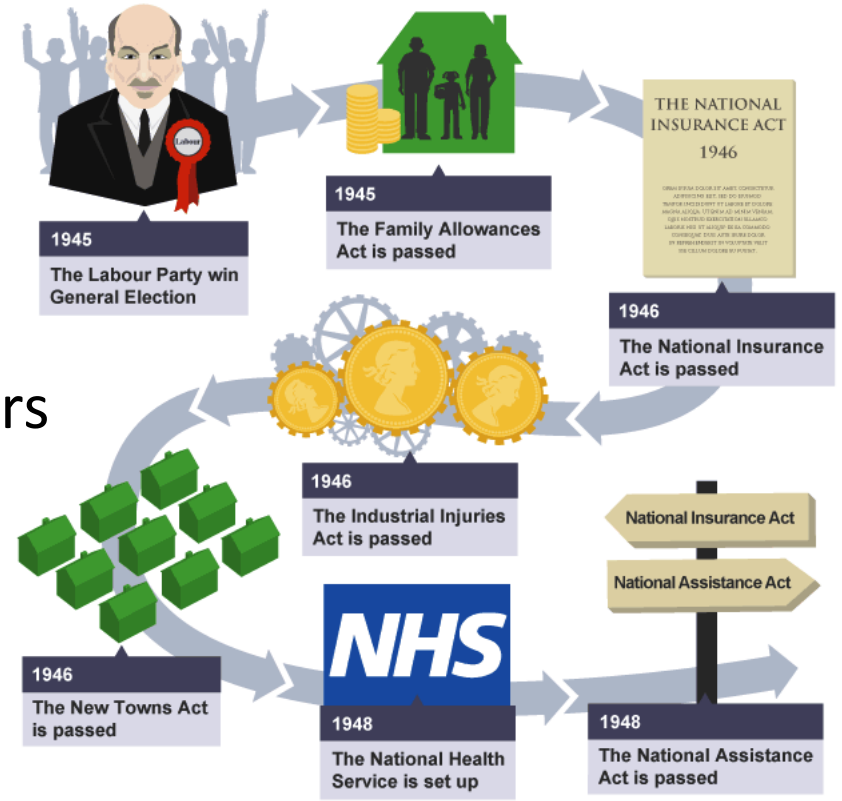
- Bank of England (Mar 1946)
- Coal mines (Jan 1947)
- Railways (Jan 1948)
- Electricity (Apr 1948)
- Gas (May 1949)
- Iron & Steel (Feb 1951)





Welfare state

- 1945 Family Allowances Act
  - Child payments
- 1946 National Insurance Act
  - Social Insurance system covering all workers
- 1948 National Assistance Act
  - Safety net for people outside work force
- 1948 National Health Service Act
  - Universal NHS free at point of use



Bank of England nationalisation

1946 Bank of England Act.

3 main clauses:

1. Treasury appoints Bank leadership and can give Bank policy directions but only *"from time to time"* and *"in consultation with the Governor"*.
2. Bank retains power to give directives to clearing banks.
3. Operational independence: *"The affairs of the Bank shall be managed by the Court of Directors"*



Walking a tightrope between inflation & deflation

- Removal of controls could unleash inflation.
- But in the medium-run demobilization might cause deflation & high unemployment.
- Gov't initial (1945-46) strategy: retain controls; keep interest rates low & reduce taxation.
  - Dalton in 1945: *"the risk of inflation now is less than the risk of deflation later"*

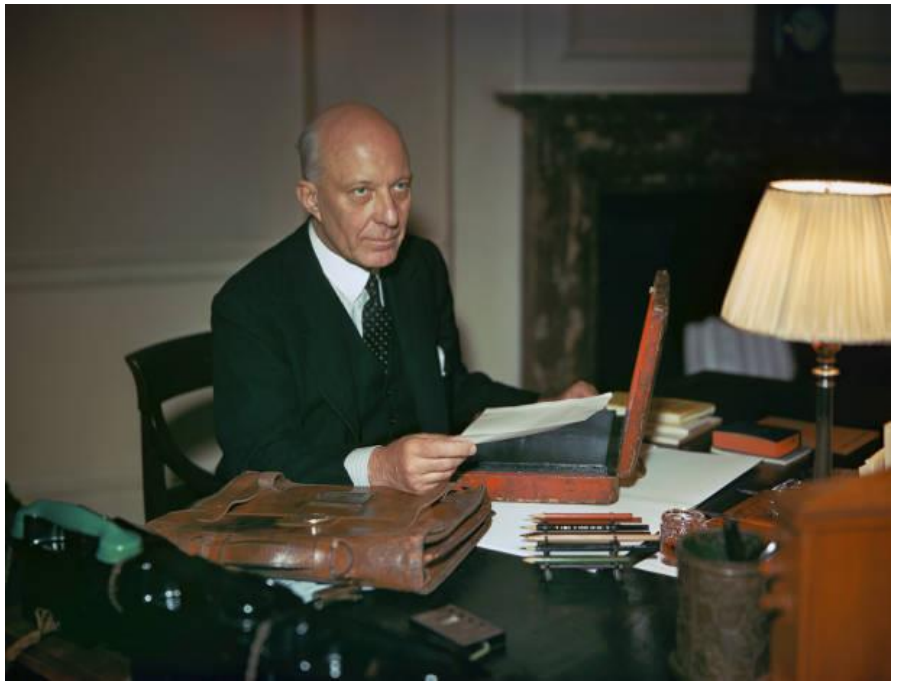
The 1945 balance of payments emergency

- Aug 1945: Lend-lease ends earlier than expected.
- Huge gap in UK balance of payments.
- 1946 American Loan
  - 5 billion USD
  - Favorable *financial* conditions.
  - *But* requires sterling convertibility by 15 July 1947



The 1945-46 budgets

- Oct 1945 + Apr 1946
- Taxes down by around 6% of GDP.
  - Personal income & profit taxes
- A cautious tax cut, given concomitant fall in military spending.
- Budget deficit will fall from 15% to 6.3%.



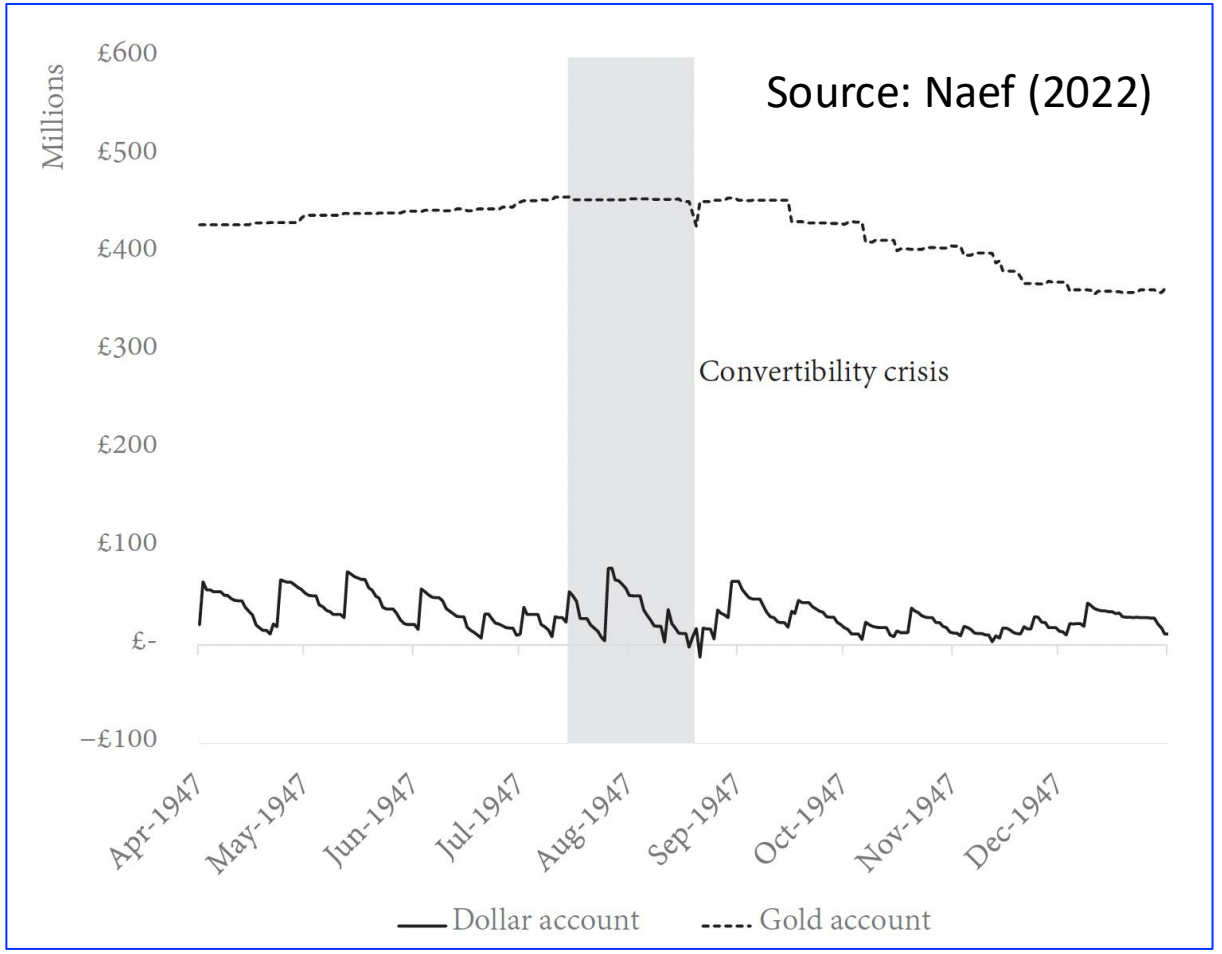
1947: A year of crises

Jan-Mar: Fuel crisis.

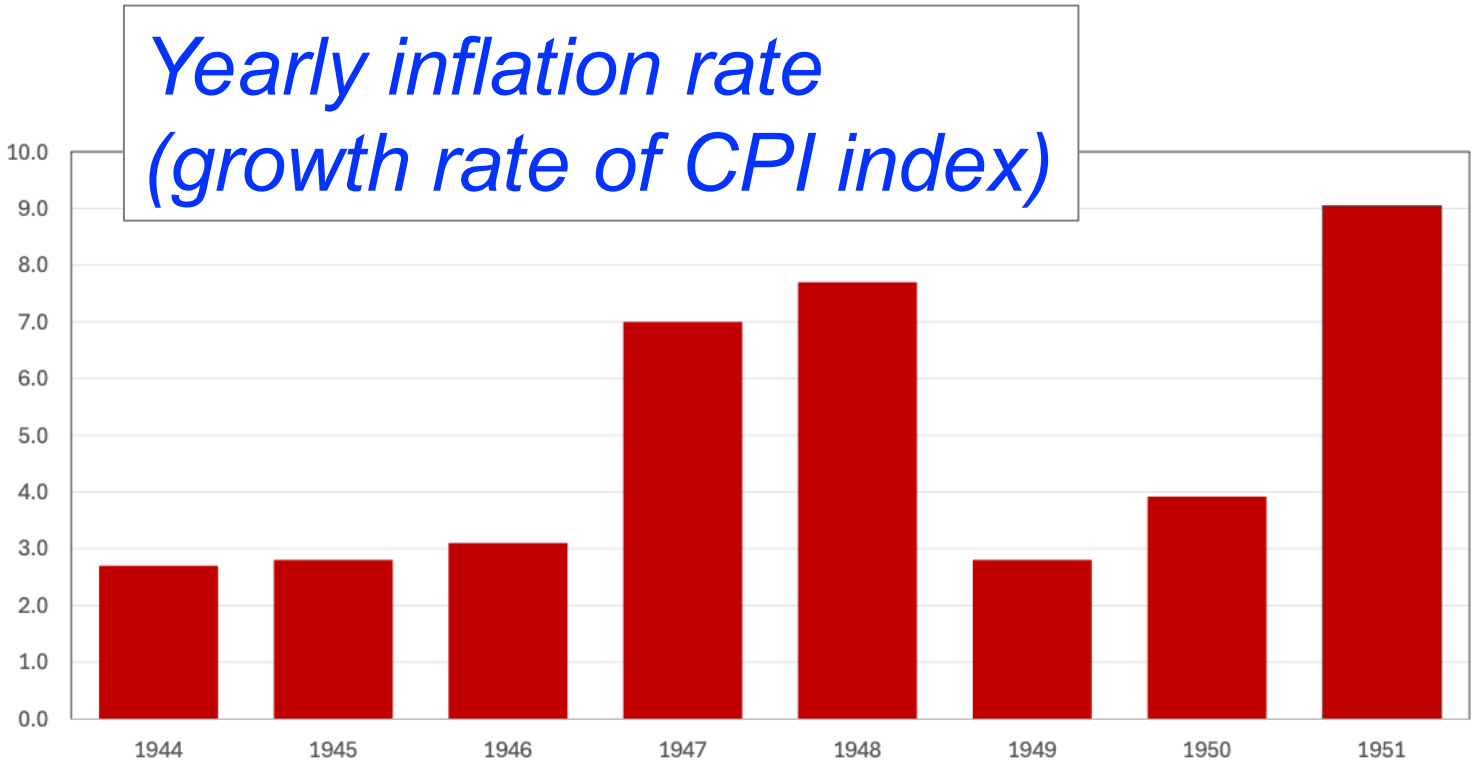
Mar-Aug: Dollar drain & convertibility crisis.

Aug: Convertibility suspended.

Apr 1948: Marshall Plan.



1947: A year of crises



1947 inflation spike

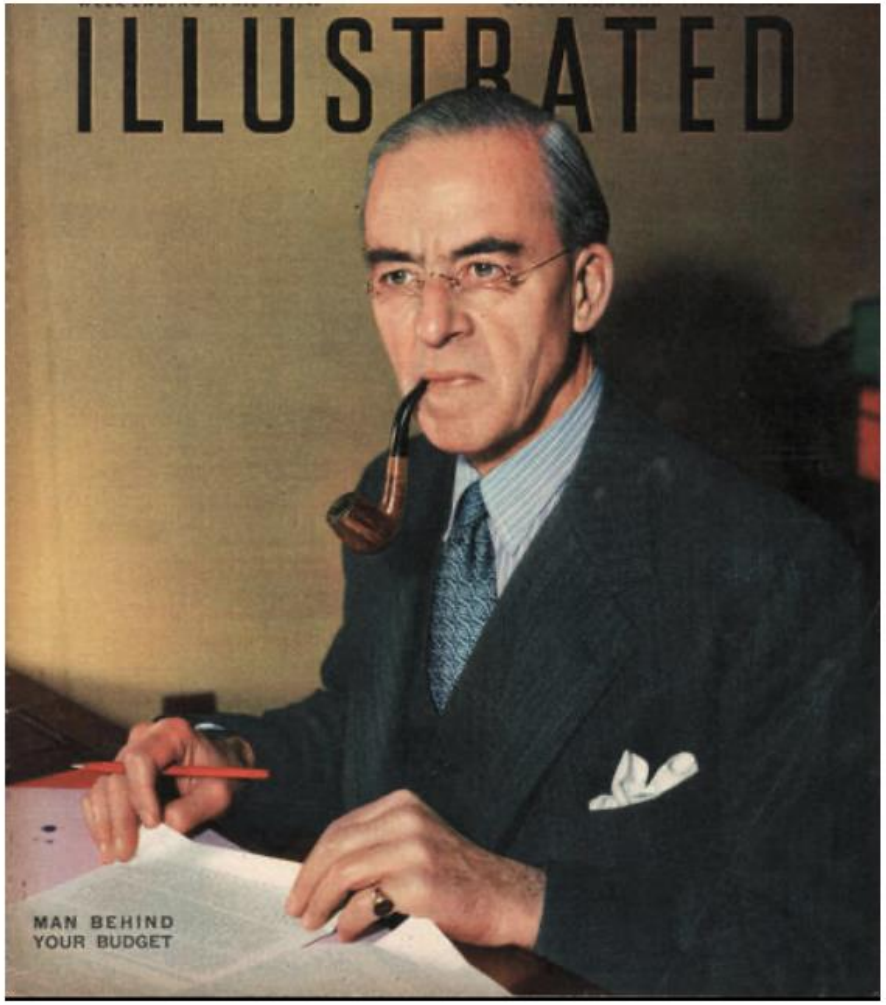
Labour government reacts with fiscal contraction.

1947 budgets: Labour austerity

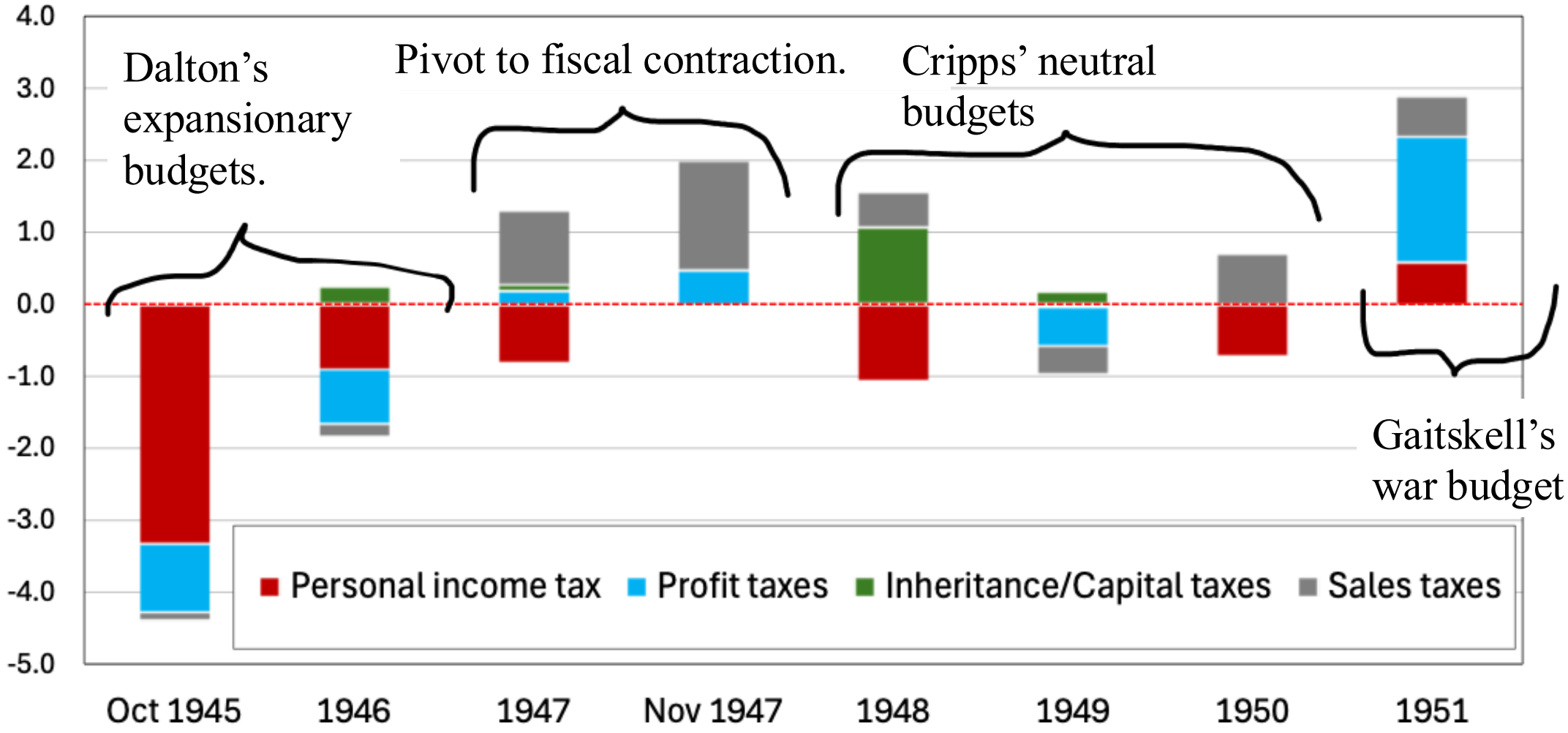
- 2 budgets: Apr & Nov.
- Inflation now the biggest threat.
  - *"deflation is no longer the immediate danger today. The immediate danger is of an inflation going beyond bounds, and breaking through the various controls that we have set up."* (from Dalton budget speech)
- Taxes raised by 2.5% of GDP.
  - Sales, profits & inheritance taxes up.
  - Personal income tax further reduced.
- Large public investment cuts.
- Dalton resigns after inadvertent leak to the press.

Sir Stafford Cripps' 1948-50 budgets

- The face of Labour austerity (although Dalton started it).
- Overall, 1948 to 1950 are basically 'no-change' budgets.
  - 1948 'Special contribution' on wealth.
  - Personal income tax reduced further.
- Large budget surpluses.

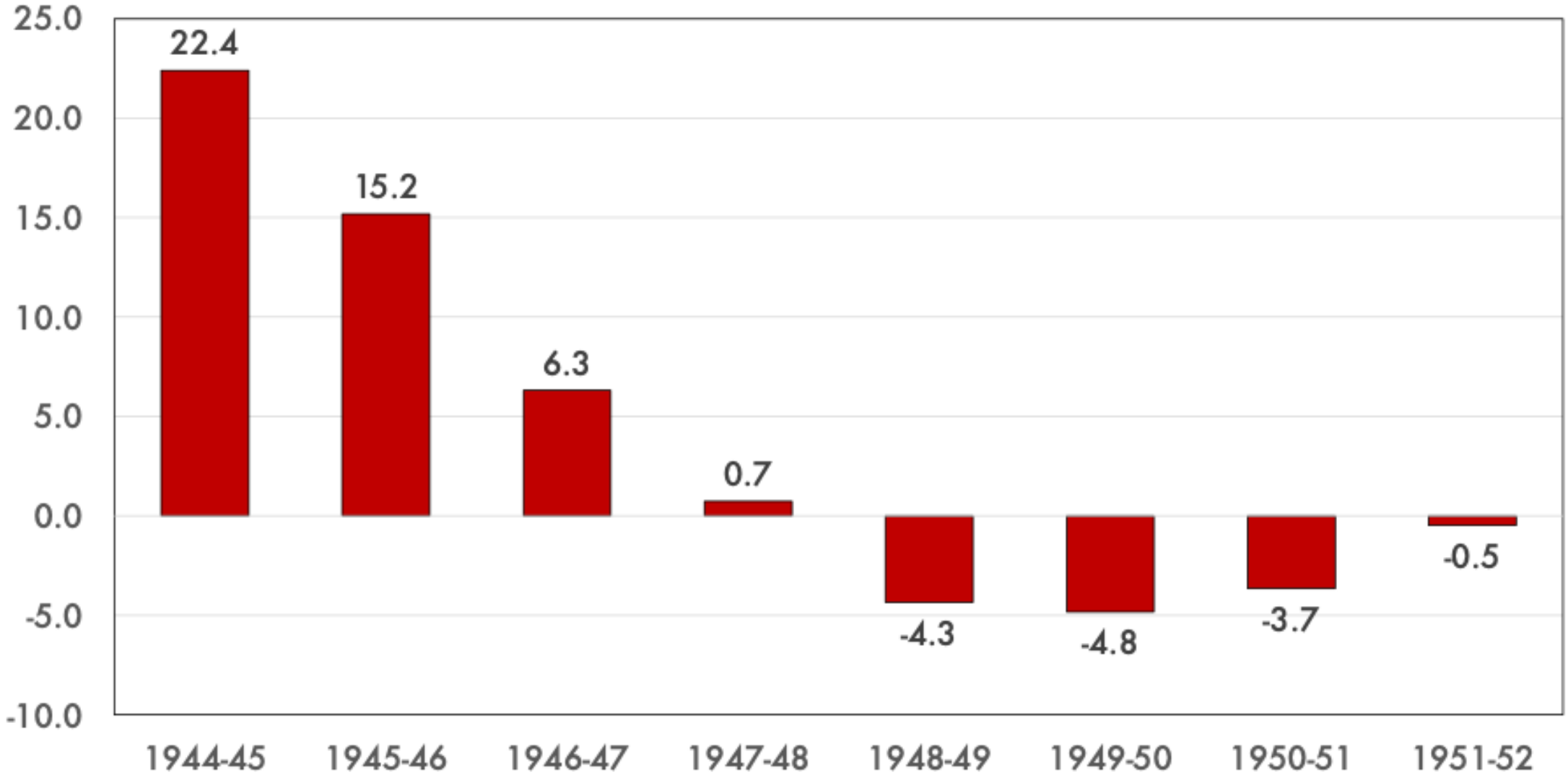


Budget tax changes 1945-51 (% of GDP)



Source: Dow (1964)

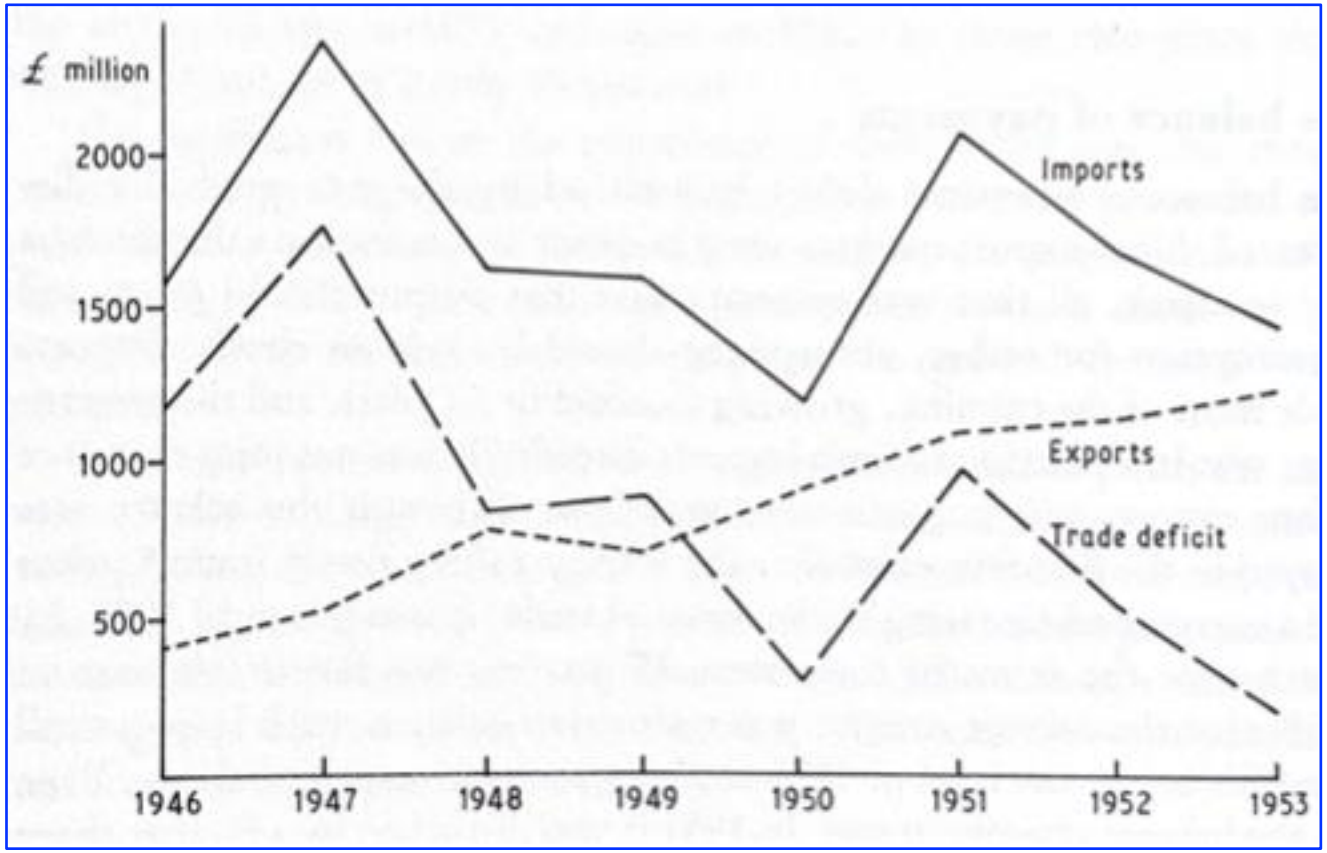
Public sector net borrowing (% of GDP)



1949 sterling crisis & devaluation

- Deficit with $ area persists.
- Debate on devaluation.
- Gov't decides against.
- Run on sterling forces devaluation in September.
  - $4.03 -> $2.80 (30.5%)
- Other countries follow suit.

UK trade with dollar area

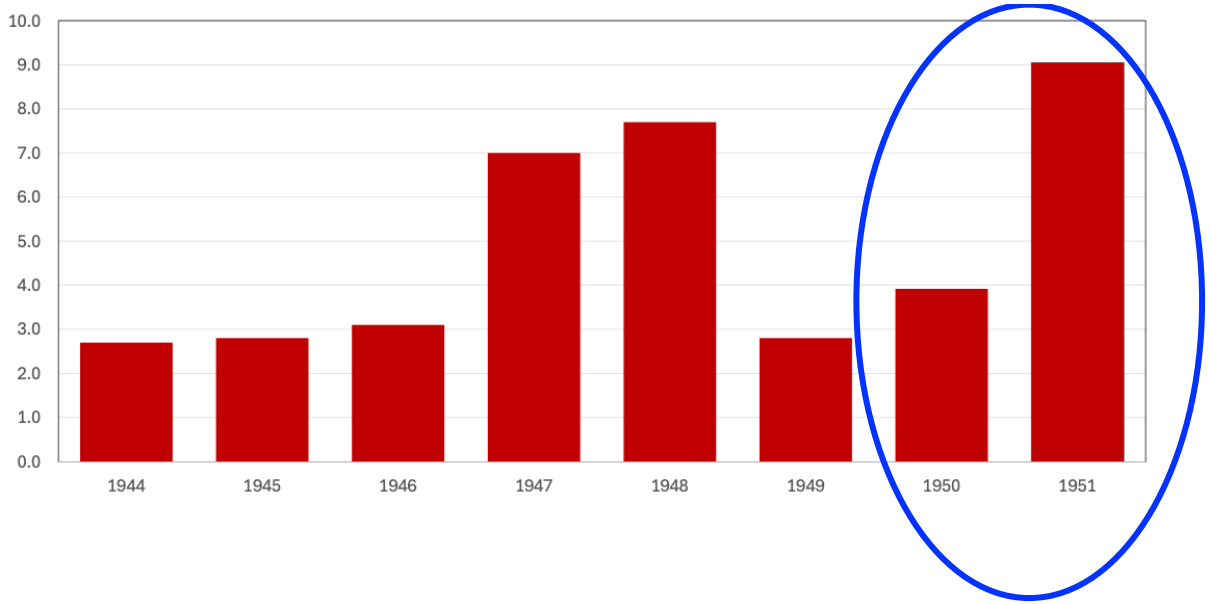


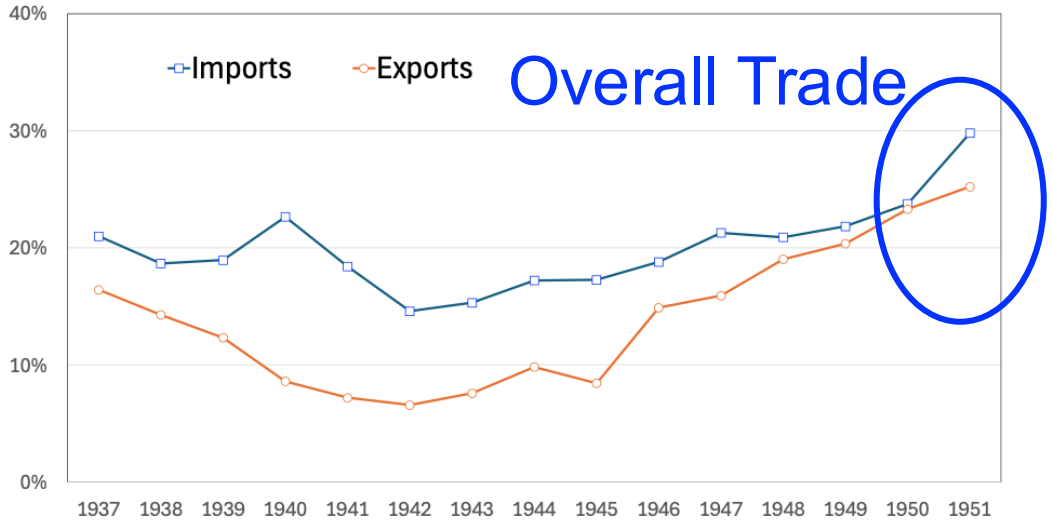
1950: Election & Korean War

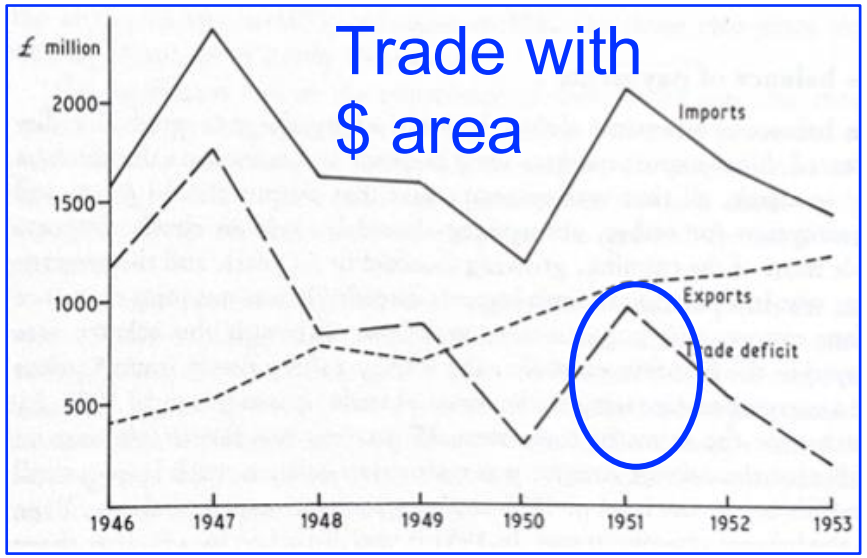
- **Feb 1950 election**: Labour returned but thin majority.
  - PM Attlee & Chancellor Cripps stay.
- **Apr 1950:** 'no-change' budget.
- **Oct 1950:** Cripps resigns, Gaitskell Chancellor
- **Summer 1950:** Korean war starts.
  - Global rearmament → commodity price boom →inflation, trade deficit.
  - PM Attlee announces large UK rearmament program.

1951: Korean-war crisis

Inflation

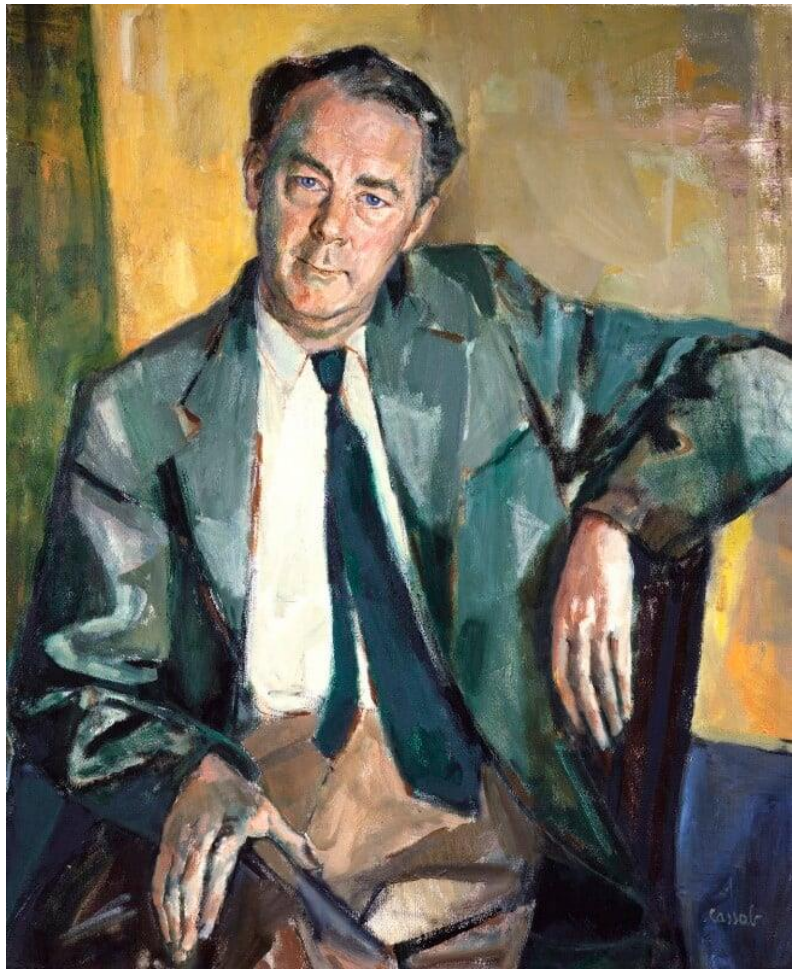






Gaitskell's 1951 war budget

- Dominated by rearmament program.
  - +£700 million budgeted (5% of GDP).
- Large increase in taxation.
  - +387 million (2.9% of GDP)
  - Across the board, but especially profit tax
- Measures to limit NHS spending growth
  - Small (£13 to 25 m/year) but controversial.
- Monetary policy remains passive
  - Gaitskell vetoes Bank's proposed rate hike.
  - Boe resists quantitative restrictions on lending



Labour splits over the budget

Harold Wilson & Nye Bevan resign over rearmament.



"The Budget (...) included ***a re-armament programme which I do not believe to be physically practicable*** *with the raw materials available to us. (…)*

If (…) rearmament runs beyond the physical resources that can be made available, then re-armament itself becomes the first casualty, the basis of our economy is disrupted and the standard of living (…) is endangered." [Wilson resignation speech, 24/04/1951]

- Attlee calls general election in Oct 1951 → narrow Conservative victory.
- Wilson proved right : By end of 1951 becomes clear that the intended scale of the rearmament program could not be achieved because of resource shortages.



Thank you for your attention